How Germany Enforces Sanctions

A Simple Overview

Institute of Legislative Ideas

February 2026

Abstract

Germany has developed a comprehensive, multi-layered sanction enforcement mechanism that combines EU-level regulations with national legislation and a dedicated institutional architecture. This analysis examines the legal foundations, institutional structure, enforcement procedures, and criminal provisions of the German sanction mechanism, including the Ukraine-focused asset transfer framework.

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1 Status as of Date

Milestone	Date
Directive (EU) 2024/1226 adopted	24 April 2024
Transposition deadline	20 May 2025
German implementation act adopted	6 February 2026

Germany transposed the Directive after the EU deadline.[1]

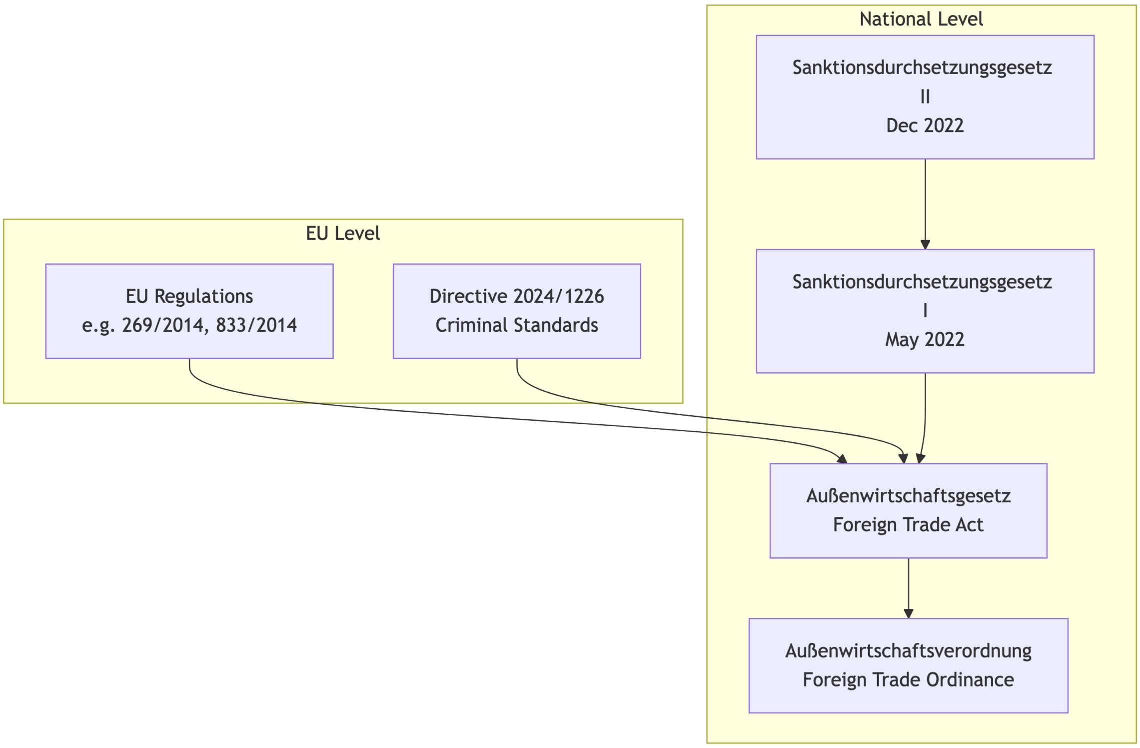
2 Executive Summary

Germany has developed a comprehensive, multi-layered sanction enforcement mechanism that combines EU-level regulations with national legislation and a dedicated institutional architecture. The framework was significantly strengthened in 2022–2024 in response to Russia's aggression against Ukraine, strengthening the enforcement of EU restrictive measures. This analysis comprises: **(I)** the core German mechanism (legal foundations, institutional structure, enforcement procedures, criminal provisions); **(II)** an annex on Ukraine-focused asset transfer implications.

[1] Bundestag, adoption of implementation act, 6 Feb 2026, https://www.bundestag.de/presse/hib/kurzmeldungen-1050080

3 1. Legal Framework

3.1 1.1 Hierarchical Structure



Legal framework hierarchy

Plain-text fallback: EU level: Regulations (269/2014, 833/2014) and Directive 2024/1226 feed into national AWG. AWG implements via AWV. SDG I (May 2022) and SDG II (Dec 2022) amend AWG.

3.2 1.2 Core Legislation

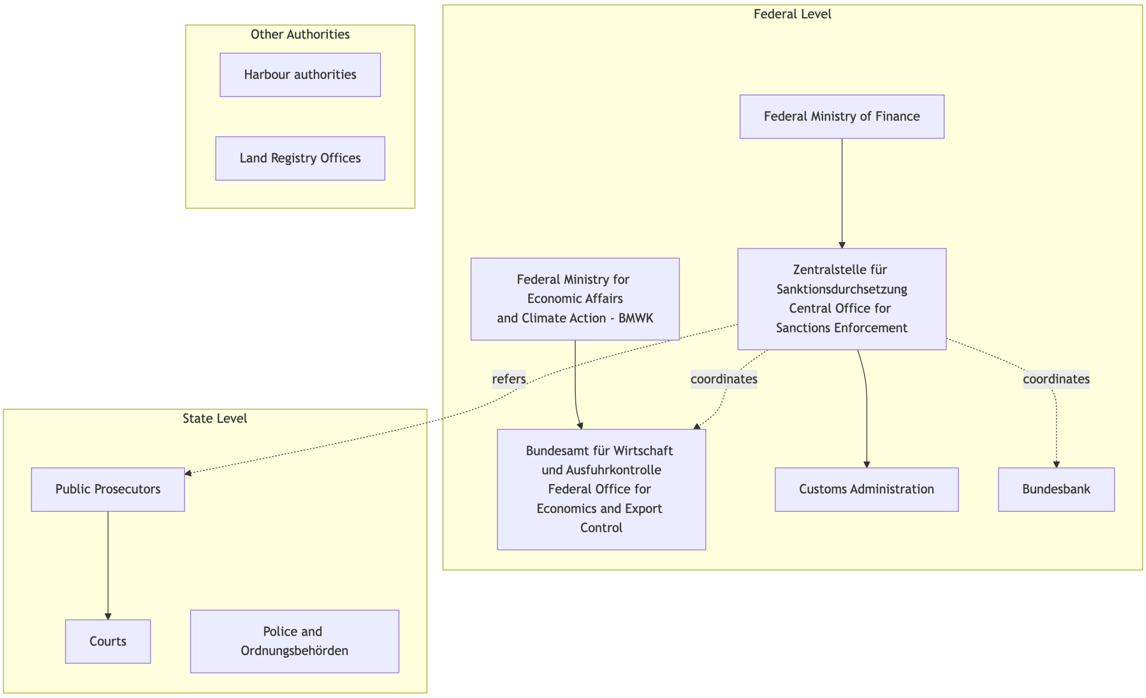
Instrument	German Name	Function
Foreign Trade Act	*Außenwirtschaftsgesetz* (AWG)	Primary legal basis; defines prohibited activities; establishes criminal and administrative penalties
Foreign Trade Ordinance	*Außenwirtschaftsverordnung* (AWV)	Implements AWG; contains authorization, procedural, and reporting requirements
Sanctions Enforcement Act I	*Sanktionsdurchsetzungsgesetz I*	Swift implementation (May 2022): asset freezing powers, data exchange, reporting obligations
Sanctions Enforcement Act II	*Sanktionsdurchsetzungsgesetz II*	Structural reform (Dec 2022): Central Office, transparency register, anti–money laundering measures

3.3 1.3 EU Direct Effect

EU sanctions regulations (e.g., Regulation 269/2014, Regulation 833/2014) have **direct effect** in Germany—they are immediately applicable without further national implementation. The prohibitions are part of the general legal order; no administrative act is required to enforce them.

4 2. Institutional Architecture

4.1 2.1 Enforcement Bodies Overview



Enforcement bodies and coordination

Plain-text fallback: Federal: BMF, BMWK, ZfS, BAFA, Customs, Bundesbank. ZfS under BMF; BMWK supervises BAFA. State: Prosecutors, courts, police. Other: Harbour authorities, land registry. ZfS coordinates BAFA and Bundesbank; refers to prosecutors.

4.2 2.2 Central Office for Sanctions Enforcement (ZfS)

Attribute	Details
Establishment	1 January 2023
Location	*Direktion XI* of the Federal Customs Administration (*Generalzolldirektion*)
Supervision	Federal Ministry of Finance

Source: Sanctions Enforcement Act II; Federal Customs Administration (Zoll).

Core Functions: - Administrative asset investigations regarding frozen assets - Interviewing persons, securing documents and objects - Searching residences and business premises - Maintaining register of sanctioned persons and their assets - Operating tip-off centre for sanctions violations - Coordinating all authorities involved in sanctions enforcement - Appointing special commissioners for sanctions-adjacent companies

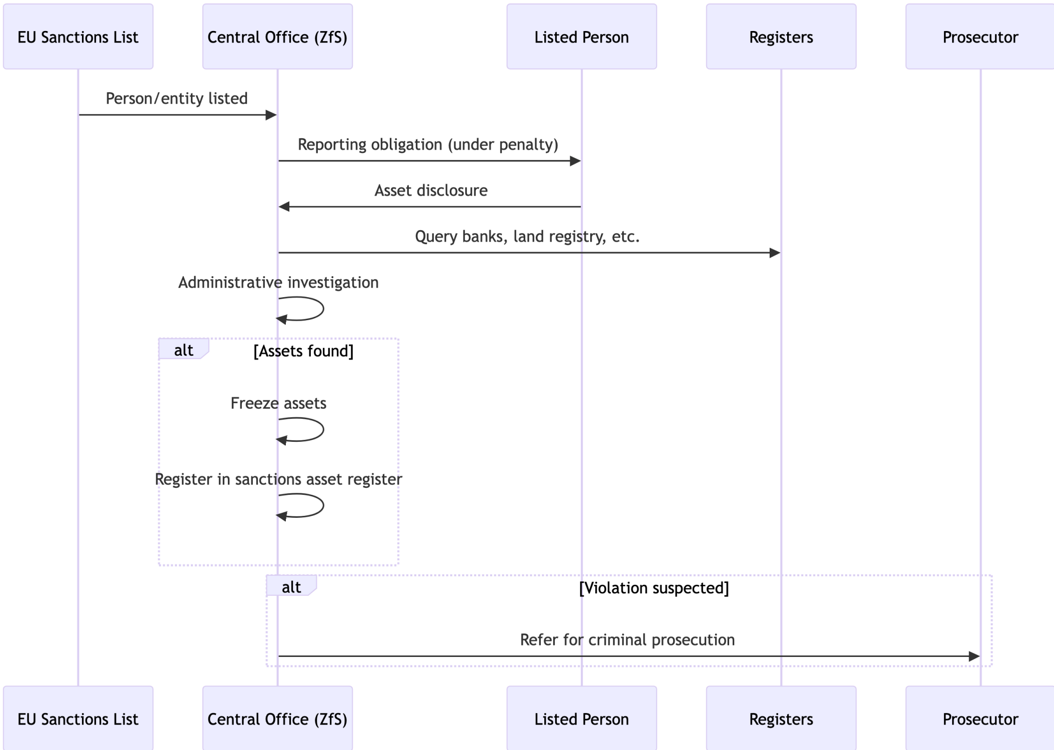
4.3 2.3 Division of Competences

Authority	Primary Responsibility
BAFA	Export controls; dual-use goods; export/import authorisations
Customs	Monitoring imports, exports, transit; supporting prosecution
Bundesbank	Monitoring compliance with financial sanctions
ZfS	Asset freezing; person listings; cross-agency coordination
Public Prosecutors	Criminal prosecution of sanctions violations

Authority	Primary Responsibility
Harbour authorities / Land Registry	Sector-specific enforcement within their competence

5 3. Enforcement Process

5.1 3.1 Asset Freezing and Investigation Flow



Asset freezing and investigation sequence

Plain-text fallback: EU lists person → ZfS enforces reporting obligation → listed person discloses assets → ZfS queries registers, investigates → if assets found: freeze and register; if violation suspected: refer to prosecutor.

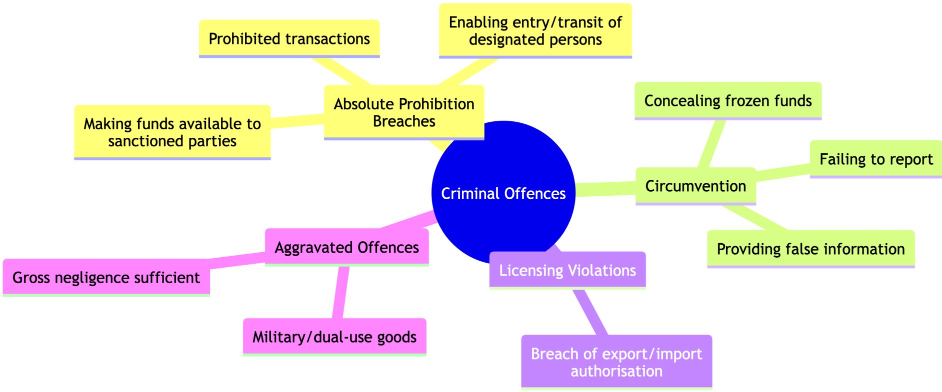
5.2 3.2 Key Enforcement Powers (Sanctions Enforcement Acts)

- **Witness examination** for ownership clarification
- **Securing evidence** and documents
- **Search** of residences and business premises
- **Access to public registers** (land registry, etc.)
- **Account queries** and securities depot identification
- **Inter-agency data exchange**
- **Asset disclosure obligation** for listed persons (conceptually similar to German provisions; no legislative history cited for direct influence)
- **UN sanctions lists** apply automatically for up to 5 days (AWG §5a(2))[2]

[2] AWG §5a(2), https://www.gesetze-im-internet.de/awg_2013/___5a.html

6 4. Criminal and Administrative Sanctions

6.1 4.1 Criminal Provisions (AWG §18)



Criminal offence categories

Plain-text fallback: Criminal offences: absolute prohibition breaches (funds, entry/transit, transactions); circumvention (concealing funds, false info, failing to report); licensing violations; aggravated offences (military/dual-use, gross negligence).

6.2 4.2 Penalty Structure (Directive 2024/1226, Art. 5 and 6)

Natural persons (Art. 5): Member States must provide for imprisonment as the maximum penalty. Minimum required maximum terms:[3] - **Standard offences:** maximum term of imprisonment of at least 1 year - **Aggravated offences** (e.g. military/dual-use goods, circumvention involving concealment): maximum term of at least 5 years - **Serious negligence** sufficient for certain conduct (e.g. military items, dual-use goods) - **Optional exclusion:** violations involving value < EUR 10,000 may be excluded from criminal offence (Art. 4)

Legal persons (Art. 6): Effective, proportionate and dissuasive penalties, including: - Fines (as % of total worldwide turnover or fixed amounts) - Exclusion from public benefits or aid - Temporary or permanent disqualification from business - Judicial winding-up

6.3 4.3 Administrative Penalties

The AWV provides for administrative fines (*Ordnungswidrigkeiten*) for regulatory breaches that do not meet the threshold for criminal prosecution.

6.4 4.4 Germany Transposition Gap (2025–2026)

Germany missed the Directive transposition deadline (20 May 2025) and adopted the implementation act on 6 February 2026.[4]

Before 2026 (AWG/AWV as previously in force): Criminal liability existed for core prohibition breaches and licensing violations; many sectoral and circumvention-related breaches were treated as administrative offences only.

Changes introduced by the 2026 implementation act (BGBl. I 2026):[5] - **AWG §18 Abs. 1 Nr. 1–3:** Expanded absolute prohibition offences; **Abs. 1 Nr. 3:** new circumvention offences (concealing frozen funds, false/misleading information); **Abs. 1 Nr. 4:** licensing breaches; **Abs. 5a:** universal reporting obligation (formerly administrative under §19(5) Nr. 1) upgraded to criminal; former AWV §82(9) Nr. 1–9, §82(1) Nr. 12, 14, 16–18 offences (transaction bans, financial services, investment

[3] Directive (EU) 2024/1226, Art. 5 and 6, https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:32024L1226

[4] Bundestag, adoption of implementation act, 6 Feb 2026, https://www.bundestag.de/presse/hib/kurzmeldungen-1050080

[5] AWG §18 (Abs. 1 Nr. 1–4, 5a), §19(7), https://www.gesetze-im-internet.de/awg_2013/___18.html, https://www.gesetze-im-internet.de/awg_2013/___19.html; AWV §82, https://www.gesetze-im-internet.de/awv_2013/___82.html; implementation act BGBl. I 2026

bans) now criminal when intentional.[6] - **AWG §19 Abs. 7:** New "particularly serious" goods-related offences (6 months–10 years) for incorrect information or use of non-EU companies under perpetrator control.[7] - **AWV §82:** Provisions restructured; former administrative offences moved to criminal level. - **Corporate fines:** AWG §19(7) raises punitive ceiling for *Verbandsbußgeld* from €10 million to €40 million for underlying criminal offences committed by managers (Directive 2024/1226 Art. 6; BGBl. I 2026).[8]

7 5. Anti–Money Laundering Integration

The Sanctions Enforcement Acts strengthen the link between sanctions enforcement and anti–money laundering:

Measure	Purpose
Transparency register	Links land registry data (owners, parcels) to legal entities; improves beneficial ownership tracing
Cash ban for real estate	No cash, crypto, or precious stones for property transactions
Stricter reporting	Foreign entities holding German real estate face enhanced transparency requirements
"Follow the money" principle	Strategic shift in AML approach

8 6. Circumvention Prevention

8.1 6.1 Domestic Measures

- **Exporter obligations:** Reg. 833/2014 requires exporters to supply competent authorities with all relevant information for export authorisation applications (Art. 2(2), Art. 3(4), Art. 4(4)).[9]
- **Inter-state and Commission information-sharing:** Art. 6 Reg. 833/2014 obliges Member States and the Commission to inform each other of measures taken, authorisations granted, and violations/enforcement problems.[10]
- **Advisory paper** for companies on goods-trade–related sanctions and risk indicators
- **Enhanced due diligence** guidance (EU Commission, Sept 2023)

8.2 6.2 International Coordination

Germany participates in EU and G7 coordination (Freeze and Seize Task Force, REPO Task Force) for sanctions enforcement. These fora support information exchange and alignment with partner countries but do not create additional German legal competences beyond those in AWG/AWV and the Sanctions Enforcement Acts.

8.3 6.3 Anti-Circumvention Instrument (11th EU Package)

- Export traceability
- Blacklisting of circumventing companies

[6] AWG §18 (Abs. 1 Nr. 1–4, 5a), §19(7), https://www.gesetze-im-internet.de/awg_2013/___18.html, https://www.gesetze-im-internet.de/awg_2013/___19.html; AWV §82, https://www.gesetze-im-internet.de/awv_2013/___82.html; implementation act BGBl. I 2026

[7] AWG §18 (Abs. 1 Nr. 1–4, 5a), §19(7), https://www.gesetze-im-internet.de/awg_2013/___18.html, https://www.gesetze-im-internet.de/awg_2013/___19.html; AWV §82, https://www.gesetze-im-internet.de/awv_2013/___82.html; implementation act BGBl. I 2026

[8] AWG §18 (Abs. 1 Nr. 1–4, 5a), §19(7), https://www.gesetze-im-internet.de/awg_2013/___18.html, https://www.gesetze-im-internet.de/awg_2013/___19.html; AWV §82, https://www.gesetze-im-internet.de/awv_2013/___82.html; implementation act BGBl. I 2026

[9] Regulation (EU) 833/2014 (consolidated), Art. 2(2), 3(4), 4(4) (exporter obligations), Art. 6 (information-sharing), https://eur-lex.europa.eu/eli/reg/2014/833/oj/eng

[10] Regulation (EU) 833/2014 (consolidated), Art. 2(2), 3(4), 4(4) (exporter obligations), Art. 6 (information-sharing), https://eur-lex.europa.eu/eli/reg/2014/833/oj/eng

- Export bans on dual-use goods to entire third countries (last resort)
- Close cooperation with third countries

9 7. Key Findings and Lessons

9.1 7.1 Strengths of the German Model

1. **Centralised coordination** via ZfS reduces fragmentation and improves information flow
2. **Dual-track enforcement**: administrative (freezing, monitoring) and criminal (prosecution) work in parallel
3. **Rapid legislative response**: Two Sanctions Enforcement Acts within months of the crisis
4. **EU alignment**: German reporting obligation for listed persons (asset disclosure) is conceptually similar to EU provisions; preparatory documents do not establish direct causal influence
5. **Integration with AML**: Sanctions and money laundering treated as interconnected risks
6. **Public involvement**: Tip-off centre enables civil society and market participants to report violations

9.2 7.2 Structural Characteristics

Aspect	German Approach
Legal basis	EU regulations + national AWG/AWV + dedicated enforcement acts
Coordination	Single central authority (ZfS) with cross-cutting mandate
Criminalisation	Harmonised with EU minimum standards (Directive 2024/1226); Germany transposed in Feb 2026
Transparency	Public register elements; enhanced beneficial ownership disclosure
International	Active in G7 REPO, EU Freeze and Seize Task Force, EU Envoy

9.3 7.3 Relevance for Ukraine

German tool	Legal prerequisite	Transferability risk
Central Office (ZfS)	Clear mandate, subordination to finance ministry, dedicated budget	Medium: requires institutional capacity and political will
Asset disclosure obligation	Criminal penalty for non-compliance; listed persons under duty	Low: replicable if listing mechanism exists
Inter-agency data exchange	Legal basis in primary legislation; data protection safeguards	Medium: depends on existing AML/financial intelligence architecture
Criminalisation of circumvention	Harmonised offence definitions; serious negligence for certain conduct	Low: Directive provides EU template; national adaptation needed
Sanctions–AML integration	Transparency register; beneficial ownership rules	Medium: Ukraine has AML framework; alignment requires regulatory changes
Tip-off centre	Whistle-blower protection (Directive 2019/1937); confidentiality	Medium: requires standalone or integrated reporting channel

9.4 7.4 Practice and Effectiveness

Data limitations (Feb 2026): The figures below rely on a May 2024 aggregate for frozen assets. No newer official federal-level aggregate was published as of Feb 2026. Comprehensive statistics on investigations, prosecutions, convictions and confiscation outcomes are not consistently published at federal level. The Commission is to assess and publish reports based on Member State data (Directive 2024/1226, Art. 17).

Measurable outputs (where publicly reported):[11]

Indicator	Data (as reported)	Source
Frozen assets (Russia-related)	~€4 bn (May 2024; historical example).[12]	Federal Ministry of Finance; Reuters
ZfS establishment	1 Jan 2023	Sanctions Enforcement Act II
Implementation act (Directive 2024/1226)	Adopted 6 Feb 2026	Bundestag

10 Annex A: Ukraine-Focused Asset Transfer Implications

The following annex addresses transfer of frozen/confiscated assets to Ukraine. It is separate from the core mechanism brief above.

10.1 A.1 Where confiscated money goes under German law

- **Freezing is not confiscation:** Under EU sanctions, asset freezing creates a disposal prohibition. German authorities state that assets cannot be seized or confiscated merely because they are frozen under EU sanctions.[13]
- **After criminal confiscation:** Once confiscation is final, ownership transfers to the state under German criminal law (StGB §75).[14]
- **Victim-priority route exists:** German criminal procedure provides compensation/return routes for entitled injured parties (StPO §§459h-459m), including return of objects or disbursement of proceeds of realisation where entitlement is substantiated in time.[15]

10.2 A.2 Which authorities and funds are responsible

- **Operational sanctions enforcement:** ZfS (asset investigations), BAFA (economic resources reporting), Bundesbank (frozen funds reporting), customs, prosecutors and courts.[16][17]
- **Criminal confiscation chain:** Public prosecution offices seek confiscation; courts order confiscation; enforcement authorities administer disbursement/compensation procedures under StPO.
- **No dedicated German "Ukraine fund" for all confiscated sanctioned assets:** The German framework does not contain a standing rule that automatically redirects all confiscated Russia-related assets to Ukraine.
- **Separate EU channel for immobilised sovereign assets' revenues:** At EU level, extraordinary revenues/net profits linked to immobilised Russian Central Bank assets are channelled through the EU framework (including the Ukraine Loan Cooperation Mechanism), not through a German domestic confiscation fund.[18][19][20]

[11] Federal Ministry of Finance, https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html; Reuters, 15 May 2024, https://www.reuters.com/world/europe/germany-has-almost-4-bln-euros-frozen-russian-assets-finance-ministry-says-2024-05-15/

[12] Federal Ministry of Finance, https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html; Reuters, 15 May 2024, https://www.reuters.com/world/europe/germany-has-almost-4-bln-euros-frozen-russian-assets-finance-ministry-says-2024-05-15/

[13] Federal Ministry of Finance, "Implementation of the sanctions on Russia – overview", https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html

[14] StGB §75 (Wirkung der Einziehung), https://www.gesetze-im-internet.de/stgb/___75.html

[15] StPO (English), Sections 459h-459m, https://www.gesetze-im-internet.de/englisch_stpo/englisch_stpo.html

[16] Federal Ministry of Finance, "Implementation of the sanctions on Russia – overview", https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html

[17] Zoll (ZfS mandate), https://www.zoll.de/DE/Privatpersonen/Zentralstelle-Sanktionsdurchsetzung/zentralstelle-sanktionsdurchsetzung_node.html

[18] Council Decision (CFSP) 2024/1470, https://eur-lex.europa.eu/eli/dec/2024/1470/oj/eng

[19] Regulation (EU) 2024/2773 (Ukraine Loan Cooperation Mechanism), https://eur-lex.europa.eu/eli/reg/2024/2773/oj/eng

[20] Council Regulation (EU) 2024/1469, https://eur-lex.europa.eu/eli/reg/2024/1469/oj

10.3 A.3 Can Ukraine receive assets as victim compensation?

- **Yes, but case-by-case:** Ukraine (or Ukrainian state entities) may seek compensation/disbursement in specific criminal confiscation cases if legal entitlement can be demonstrated under StPO procedures and deadlines.[21]
- **Important limitation:** Sanctions freezing alone does not automatically generate transferable funds to victims; a criminal confiscation outcome or dedicated allocation mechanism is needed.[22][23]
- **Emerging EU legal basis for third-country support:** Directive (EU) 2024/1260 allows Member States to use confiscated assets linked to sanctions-crime contexts to support third countries affected by the sanctioned situation (including war aggression scenarios). This is permissive, not automatic.[24]

10.4 A.4 Policy options for Ukraine (legal feasibility and constraints)

Option	Legal basis / feasibility	Constraints
1. EU extraordinary-revenue channels (ULCM/ERA-linked flows)	Reg. 2024/2773, Reg. 2024/1469; Council Decision 2024/1470. Already operational.[25][26]	Limited to net profits from immobilised sovereign assets; not applicable to privately held frozen/confiscated assets.
2. German implementation of Directive 2024/1260, Art. 19(2)	Permissive: Member States *may* use confiscated assets for third-country support.[27]	Requires national implementing legislation; Germany has not yet adopted explicit Ukraine-directed allocation rules.
3. Case-by-case litigation under StPO §§459h-459m	Entitled injured parties may seek return/disbursement in criminal confiscation proceedings.[28]	Requires final confiscation order; claimant must substantiate entitlement and meet procedural deadlines; no automatic standing for state-level claimants.
4. Germany-Ukraine bilateral framework	No legal barrier if consistent with EU and international law.	Would require treaty or intergovernmental agreement; must align with EU sanctions and confiscation rules.
5. Policy messaging clarity	Analytical distinction only.	Separating frozen vs confiscated vs extraordinary revenues avoids legal confusion and sets realistic expectations.[29][30][31]

[21] StPO (English), Sections 459h-459m, https://www.gesetze-im-internet.de/englisch_stpo/englisch_stpo.html
[22] Federal Ministry of Finance, "Implementation of the sanctions on Russia – overview", https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html
[23] StGB §75 (Wirkung der Einziehung), https://www.gesetze-im-internet.de/stgb/___75.html
[24] Directive (EU) 2024/1260, Art. 19(2), https://eur-lex.europa.eu/eli/dir/2024/1260/oj/eng
[25] Regulation (EU) 2024/2773 (Ukraine Loan Cooperation Mechanism), https://eur-lex.europa.eu/eli/reg/2024/2773/oj/eng
[26] Council Regulation (EU) 2024/1469, https://eur-lex.europa.eu/eli/reg/2024/1469/oj
[27] Directive (EU) 2024/1260, Art. 19(2), https://eur-lex.europa.eu/eli/dir/2024/1260/oj/eng
[28] StPO (English), Sections 459h-459m, https://www.gesetze-im-internet.de/englisch_stpo/englisch_stpo.html
[29] Federal Ministry of Finance, "Implementation of the sanctions on Russia – overview", https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/War-in-Ukraine/implementation-of-the-sanctions-on-russia.html
[30] Council Decision (CFSP) 2024/1470, https://eur-lex.europa.eu/eli/dec/2024/1470/oj/eng
[31] Council Regulation (EU) 2024/1469, https://eur-lex.europa.eu/eli/reg/2024/1469/oj

11 9. Conclusion

The German sanction mechanism combines a robust EU-derived legal framework with a dedicated institutional architecture centred on the Central Office for Sanctions Enforcement. The 2022–2024 reforms (Sanctions Enforcement Acts I and II) created a model of coordinated, multi-agency enforcement with strong criminal deterrence and anti–money laundering linkages. The 2026 transposition of Directive 2024/1226 further strengthened criminal provisions in the AWG. The framework is designed for effectiveness, transparency, and international alignment—attributes that may inform legislative and institutional design in other jurisdictions, including Ukraine.

12 Annex B: Key Legal References

Reference	Description
Regulation (EU) 269/2014	Asset freezing, travel bans, listings
Regulation (EU) 833/2014	Sectoral and goods-specific sanctions
Directive (EU) 2024/1226	Criminal offences and penalties for sanctions violations
Außenwirtschaftsgesetz (AWG)	German Foreign Trade Act
Außenwirtschaftsverordnung (AWV)	German Foreign Trade Ordinance
Sanktionsdurchsetzungsgesetz I & II	Sanctions Enforcement Acts I and II

13 Sources

14 What Is This About?

When the EU decides to sanction people or countries (for example, Russia), someone must make sure those sanctions are actually applied. In Germany, this is done through a clear system of laws and a central office that coordinates the work.

> In short
>
> EU sets the rules → Germany enforces them through several authorities → one office (ZfS) coordinates and investigates.

15 Who Does What?

The diagram below shows the main actors and how they work together.

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%%| fig-cap: "Main actors in German sanctions enforcement"
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flowchart LR
    subgraph EU["EU decides"]
        Rules[EU sanctions lists<br/>and rules]
    end

    subgraph Germany["Germany enforces"]
        ZfS[Central Office ZfS<br/>Investigates assets<br/>Coordinates everyone]
        BAFA[BAFA<br/>Export controls]
        Customs["Customs<br/>Borders and goods"]
        Banks[Bundesbank<br/>Financial sanctions]
        Prosecutors[Prosecutors<br/>Criminal cases]
    end

    Rules --> ZfS
    ZfS --> BAFA
```

```
    ZfS --> Customs
    ZfS --> Banks
    ZfS --> Prosecutors
```

Authority	Role in simple terms
ZfS (Central Office)	Finds and freezes assets of sanctioned persons; coordinates all other bodies
BAFA	Controls exports (e.g. goods that must not go to Russia)
Customs	Checks goods at borders
Bundesbank	Monitors banks and frozen funds
Prosecutors	Bring criminal cases when someone breaks the rules

16 How Does It Work? (Step by Step)

When a person or company is added to the EU sanctions list, this is what happens:

```
%%| fig-cap: "Enforcement flow from listing to prosecution"
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%%| fig-align: center
flowchart TD
    A[Person added to EU list] --> B[Central Office ZfS is notified]
    B --> C[Listed person must report their assets]
    C --> D[ZfS checks banks, land registry, etc.]
    D --> E{Assets found?}
    E -->|Yes| F[Assets are frozen]
    E -->|No| G[Investigation continues]
    F --> H{Violation suspected?}
    H -->|Yes| I[Case sent to prosecutors]
    H -->|No| J[Monitoring continues]
```

Key steps: 1. **EU lists** a person or company. 2. **ZfS** asks them to report all assets (under penalty if they don't). 3. **ZfS** checks banks, land registry, and other sources. 4. **Assets are frozen** – the person cannot sell or use them for profit. 5. If someone **breaks the rules**, the case goes to **prosecutors** for criminal proceedings.

17 What Happens If Someone Breaks the Rules?

Who	Consequence
Individuals	Prison (1–5 years or more for serious cases)
Companies	Large fines (up to €40 million for the most serious offences)
Typical offences	Giving money to sanctioned persons, hiding frozen assets, exporting banned goods

18 Why Is the German Model Interesting for Ukraine?

Element	Why it matters
One central office (ZfS)	Avoids confusion; one place coordinates everything
Listed persons must report assets	Makes it harder to hide money
Tip-off centre	Anyone can report suspected violations
Links to anti–money laundering	Helps trace who really owns assets
Strong criminal penalties	Deters people from breaking the rules

19 Where Does the Money Go?

❗ Freezing is not the same as confiscation

What happens	Where the money goes
Assets are frozen	The person cannot sell or use them. They stay in place. No automatic transfer to the state or Ukraine.
After criminal confiscation	Ownership passes to the German state (StGB §75).
Victim compensation	German law allows injured parties to claim compensation or return of assets (StPO §§459h–459m) if they prove entitlement in time.

There is no German "Ukraine fund" that automatically sends all confiscated Russia-related assets to Ukraine.

Separate EU channel: Revenues from immobilised Russian Central Bank assets go through the EU (e.g. Ukraine Loan Cooperation Mechanism), not through a German domestic fund.

20 Can Ukraine Get Those Assets?

Yes, but only in specific cases

- **Case-by-case:** Ukraine (or Ukrainian entities) can seek compensation or disbursement in criminal confiscation cases if they prove legal entitlement under German procedure (StPO §§459h–459m).
- **Main limitation:** Freezing alone does not create funds for victims. A criminal confiscation or a special allocation mechanism is needed.
- **New EU option:** Directive (EU) 2024/1260 allows Member States to use confiscated assets from sanctions-related crimes to support affected third countries (e.g. Ukraine). This is optional, not automatic.

Practical steps for Ukraine: 1. Focus on **EU extraordinary-revenue channels** (e.g. ULCM) as the most operational route. 2. Push for German use of **Directive 2024/1260, Art. 19(2)** to direct qualifying confiscated assets to Ukraine. 3. Prepare **case-by-case claims** in German courts: evidence of damage, claimant standing, and compliance with StPO procedures. 4. In messaging, clearly separate: (a) frozen assets, (b) criminal confiscation proceeds, (c) EU-level revenues from sovereign-asset immobilisation.

21 Main Takeaways

Note

1. **EU rules apply directly** in Germany – no extra national law is needed for the basic prohibitions.
2. **ZfS** is the hub: it investigates, freezes assets, and coordinates other authorities.
3. **Freezing confiscation** – frozen assets do not automatically go to the state or Ukraine.
4. **Ukraine can receive assets** in criminal confiscation cases if entitlement is proven; EU Directive 2024/1260 offers an additional route.
5. The system was **strengthened in 2022–2026** with new laws and a dedicated central office.

Based on the full analysis: German Sanction Mechanism Analysis (Institute of Legislative Ideas, Feb 2026).